INTERNAL CONTROL – INTEGRATED FRAMEWORK

(Excerpted from the Executive Summary of the Report Issued by
The Committee of Sponsoring Organizations of the Treadway Commission, 1992)

Purpose

The COSO (Committee of Sponsoring Organizations) Report defines internal control, describes its components, and provides criteria against which control systems can be evaluated.

Definition

Internal control is a process, effected by an entity's board of directors, management, and other personnel, designed to provide reasonable assurance regarding achievement of objectives in the following categories:

- Effectiveness and efficiency of operations,
- Reliability of financial reporting, and
- Compliance with applicable laws and regulations.

Goals of the Report

1. Establish a common definition of internal control that serves many different parties, and
2. Provide a standard against which organizations can assess their control systems and determine how to improve them.

Core Elements

The internal control system consists of five inter-related components:

1. Control environment
2. Risk assessment
3. Control activities
4. Information & Communications
5. Monitoring.

AREA	ASPECT	DETAIL
Control Environment	Integrity & Ethical Values	• Existence and implementation of codes of conduct and other policies regarding acceptable business practice, conflicts of interest, or expected standards of ethical and moral behavior. • Dealings with employees, suppliers, customers, investors, creditors, insurers, competitors, and auditors, etc. (e.g., whether management conducts business on a high ethical plane, and insists that others do so, or pays little attention to ethical issues). • Pressure to meet unrealistic performance targets – particularly for short-term results – and the extent to which compensation is based on achieving those performance targets.
	Commitment to Competence	• Formal or informal job descriptions or other means of defining tasks that comprise particular jobs. • Analyses of the knowledge and skills needed to perform jobs adequately.
	Board of Directors or Audit Committee	• Independence from management, such that necessary, even if difficult and probing, questions are raised. • Frequency and timeliness with which meetings are held with chief financial and/or accounting officers, internal auditors and external auditors. • Sufficiency and timeliness with which information is provided to board or committee members, to allow monitoring of management's objectives and strategies, the entity's financial position and operating results, and terms of significant agreements. • Sufficiency and timeliness with which the board or audit committee is apprised of sensitive information, investigations and improper acts (e.g., travel expenses of senior officers, significant litigation, investigations of regulatory agencies, defalcations, embezzlement or misuse of corporate assets, violations of insider trading rules, political payments, illegal payments).
	Management's Philosophy and Operating Style	• Nature of business risks accepted, e.g., whether management often enters into particularly high-risk ventures, or is extremely conservative in accepting risks. • Frequency of interaction between senior management and operating

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		management, particularly when operating from geographically removed locations. • Attitudes and actions toward financial reporting, including disputes over application of accounting treatments (e.g., selection of conservative versus liberal accounting policies; whether accounting principles have been misapplied, important financial information not disclosed, or records manipulated or falsified.)

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	Organizational Structure	• Appropriateness of the entity's organizational structure, and its ability to provide the necessary information flow to manage its activities. • Adequacy of definition of key managers' responsibilities, and their understanding of these responsibilities. • Adequacy of knowledge and experience of key managers in light of responsibilities.
	Assignment of Authority and Responsibility	• Assignment of responsibility and delegation of authority to deal with organizational goals and objectives, operating functions and regulatory requirements, including responsibility for information systems and authorizations for changes. • Appropriateness of control-related standards and procedures, including employee job descriptions. • Appropriate numbers of people, particularly with respect to data processing and accounting functions, with the requisite skill levels relative to the size of the entity and nature and complexity of activities and systems.
	Human Resource Policies and Practices	• Extent to which policies and procedures for hiring, training, promoting and compensating employees are in place. • Appropriateness of remedial action taken in response to departures from approved policies and procedures. • Adequacy of employee candidate background checks, particularly with regard to prior actions or activities considered to be unacceptable by the entity. • Adequacy of employee retention and promotion criteria and information-gathering techniques (e.g., performance evaluations) and relation to the code of conduct or other behavioral guidelines.
Risk Assessment	Objectives	Objectives can be set in a structured or informal way; hey may be explicitly or implicitly stated. They are often represented by the entity's mission and value statements. More specific objectives flow from the broad strategy. These are entity level objectives that are linked and integrated with "activity" level objectives.

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		Categories of objectives include: • Operations objectives, pertaining to effectiveness and efficiency, including performance and profitability goals and safeguarding resources against loss. These vary based on management's choices about structure and performance. • Financial Reporting objectives, which pertain to the preparation of reliable published financial statements and driven primarily by external requirements. • Compliance objectives, which pertain to adherence to laws and regulations governing the entity. These are dependent on external factors. In some cases, all entities are subject to them, others are industry-specific. Evaluation in this area consists of examining: Entity-wide objectives: • Extent to which they provide sufficiently broad statements and guidance on what the entity desires to achieve, yet which are specific enough to relate directly to this entity. • Effectiveness with which the entity-wide objectives are communicated toe employees and board of directors. • Relation and consistency of strategies with entity-wide objectives. • Consistency of business plans and budgets with entity-wide objectives, strategic plans and current conditions. Activity-level objectives: • Linkage of activity level objectives with each other. • Consistency of activity-level objectives with each other. • Relevance of activity level objectives to all significant business processes. • Specificity of activity level objectives. • Adequacy of resources relative to objectives. Identification of objectives that are important (critical success factors) to achievement of entity-wide objectives. Involvement of all levels of management in objective setting and extent to which they are committed to the objectives.

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	Risk Identification & Analysis	Performance can be at risk due to internal or external factors, which can affect either stated or implied objectives. An entity's risk assessment process should be comprehensive and consider risks that may occur. All significant interactions – of goods, services and information – should be considered. The risk assessment process is iterative and is usually integrated with the planning process. **Entity-level risks** Adequacy of mechanisms to identify risks arising from such external factors as the following: • Technological developments • Changing customer needs or expectations • Competition • New legislation or regulation • Natural catastrophes • Economic changes Adequacy of mechanisms to identify risks arising from such internal factors as the following: • Disruption in information systems • Quality of personnel hired and methods of training and motivation • Change in management responsibilities • Nature of the entity's activities and employee accessibility to assets • Unassertive or ineffective board or audit committee. **Activity-level risks** Identification of significant risks for each significant activity-level objective. For any objective, many risks can be identified. Potential causes for failing to meet

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		objectives can range from the obvious to the obscure and from the significant to the insignificant in potential effect. To avoid overlooking relevant risks, the identification of potential risk is best made separately from the likelihood of the risk occurring. Thoroughness and relevance of the risk analysis process, including: • Estimating the significance of a risk • Assessing the likelihood of the risk occurring Considering how the risk should be managed.

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	Managing Change	Every entity needs to have a process, formal or informal, to identify conditions that can significantly alter its ability to achieve objectives, including changes in the status quo. Reasonable mechanisms should be in place to anticipate changes that can affect the entity's performance either by avoiding problems or by taking advantage of opportunities. Changed circumstances that demand special attention: • Changed operating environment • New personnel • New or revamped information systems • Rapid growth • New technology • New lines, products, activities • Corporate restructurings • Foreign operations

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Control Activities	Policies and Procedures	Policies (which establish what should be done) and procedures (the actions of people to carry out policies) help ensure that management directives identified as necessary to address risks are carried out. Policies and procedures can be divided into 3 categories: • Operations • Financial reporting • Compliance. A wide variety of controls may be put into place to ensure that objectives are met. Internal control activities that an organization can put in place include: • Preventive controls • Detective controls • Manual controls • Computer controls • Management controls Following are examples of major types of control activities designed to keep entities "on track" toward achieving their objectives. Control activities are not simply for their own sake or because they seem to be "the right and proper" thing to do. They serve as mechanisms for and are very much a part of managing the achievement of objectives. • Top level reviews. Major organizational initiatives and plans are tracked to measure performance against targets. Management actions taken to analyze and follow-up on such reporting are considered control activities. • Functional or Activity Management. Managers who are directly responsible for running various organizational functions or activities check reports and relate results to targets. • Information processing. Various controls should be in place to check accuracy, completeness and proper authorization for transactions. Entry data are checked, numerical sequences of transactions are accounted for, balances are compared

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		and reconciled, exceptions are acted upon and reported if necessary, changes to existing systems and development of new ones are controlled, and access to information is appropriately authorized. • Physical controls. Assets such as equipment, inventories, supplies, securities and cash are periodically counted and the number compared with control records. • Performance indicators. Performance indicators can be used to serve both operational and financial reporting control purposes. Relating different sets of data, along with analysis of the relationships and investigative and corrective actions can serve as control activities. • Segregation of duties. Job duties or responsibilities are divided among different people to reduce the risk of error or inappropriate actions.

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	Information System Controls	Information system controls are of two types: general controls and application system controls. These controls apply to all systems – mainframe, mini-computer and end-user computing environments. **General controls:** • Data Center Operations. Controls include job set-up and scheduling, operator actions, backup and recovery procedures, and contingency or disaster recovery planning. In sophisticated environments, capacity planning and resource allocation and use are also included. • System Software. Controls should cover the effective acquisition, implementation and maintenance of system software – operating system, data base management systems, telecommunications software, security software and utilities. System logging, tracking and monitoring are also covered. • Access Security. Appropriate access should be authorized for those needing the systems to perform desired work. A variety of practices can be used to grant or limit access, for example, special "dial up" numbers, review of user profiles, use of passwords or user ID's. • System Development Methodology. Development and maintenance of application systems have traditionally been high cost areas for most organizations (i.e., time, skills of developers, hardware and software required). To control costs, many entities provide a structure for system design & implementation, outlining phases, documentation requirements, approvals, testing, and checkpoints.

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		Application Controls These are designed to ensure the completeness and accuracy of transaction processing, authorization and validity. Application interfaces are particularly important because they are often linked to other systems that need control to ensure that all inputs for processing are received and that all outputs are distributed appropriately. In many applications, computerized edit checks can prevent errors from entering the system, and can detect and correct them if they are present. **Inter-Relationship of Controls** General controls are needed to support the functioning of application controls, and application controls are needed to ensure complete and accurate information processing.
	Entity-Specific Controls	Because each entity has its own objectives and implementation strategies, internal control activities will differ. Factors influencing the design of internal controls include: capability and judgement of people managing the entity, the environment and industry in which an entity operates, the complexity, nature and scope of the organization, geographical dispersion of employees and assets, extent and sophistication of operations and information processing methods.

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Information & Communication	Information	• Obtaining external and internal information, and providing management with necessary reports on the entity's performance relative to established objectives. • Providing information to the right people in sufficient detail and on time to enable them to carry out their responsibilities efficiently and effectively. • Development or revision of information systems based on a strategic plan for information systems – linked to the entity's overall strategy – and responsive to achieving the entity-wide and activity-level objectives. • Management's support for the development of necessary information systems is demonstrated by the commitment of appropriate resources – human and financial.
	Communication	• Effectiveness with which employees' duties and control responsibilities are communicated. • Establishment of channels of communication for people to report suspected improprieties. • Receptivity of management to employee suggestions of ways to enhance productivity, quality or other similar improvements. • Adequacy of communication across the organization (for example, between procurement and production activities)_ and the completeness and timeliness of information and its sufficiency to enable people to discharge their responsibilities effectively. • Openness and effectiveness of channels with customers, suppliers and other external parties for communicating information on changing customer needs. • Extent to which outside parties have been made aware of the entity's ethical standards. • Timely and appropriate follow-up action by management resulting from communications received from customers, vendors, regulators or other external parties.

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Monitoring	Ongoing Monitoring	• Extent to which personnel, in carrying out their regular activities, obtain evidence as to whether the system of internal control continues to function. • Extent to which communications from external parties corroborate internally generated information, or indicate problems. • Periodic comparison of amounts recorded by the accounting system with physical assets. • Responsiveness to internal and external auditor recommendations on means to strengthen internal controls. • Extent to which training seminars, planning sessions and other meetings provide feedback to management on whether controls operate effectively. • Whether personnel are asked periodically to state whether they understand and comply with the entity's code of conduct and regularly perform critical control activities. • Effectiveness of internal audit activities.
	Separate Evaluations	• Scope and frequency of separate evaluations of the internal control system. • Appropriateness of the evaluation process. • Whether the methodology for evaluating a system is logical and appropriate. • Appropriateness of the level of documentation.
	Reporting Deficiencies	• Existence of mechanism for capturing and reporting identified internal control deficiencies. • Appropriateness of reporting protocols. • Appropriateness of follow-up actions.